A/B Test Results for Food and Drink Banner Ad Recommendations for GloBox

Introduction

● **Purpose:** Presenting results of A/B test to company leadership. ● **A/B Test:** Compare conversion rate & average spent for two banner ads. ● **Test Period:** Jan 25th, 2023 - Feb 6th, 2023.

● **Users:** Control Group: 24,343 | Treatment Group: 24,600. ● **Company:** GloBox - Boutique fashion, decor, & growing food/drink. ● **Objective:** Raise food & drink awareness, boost revenue. ● **Approach:** A/B test with banner ad on app landing.

Overview

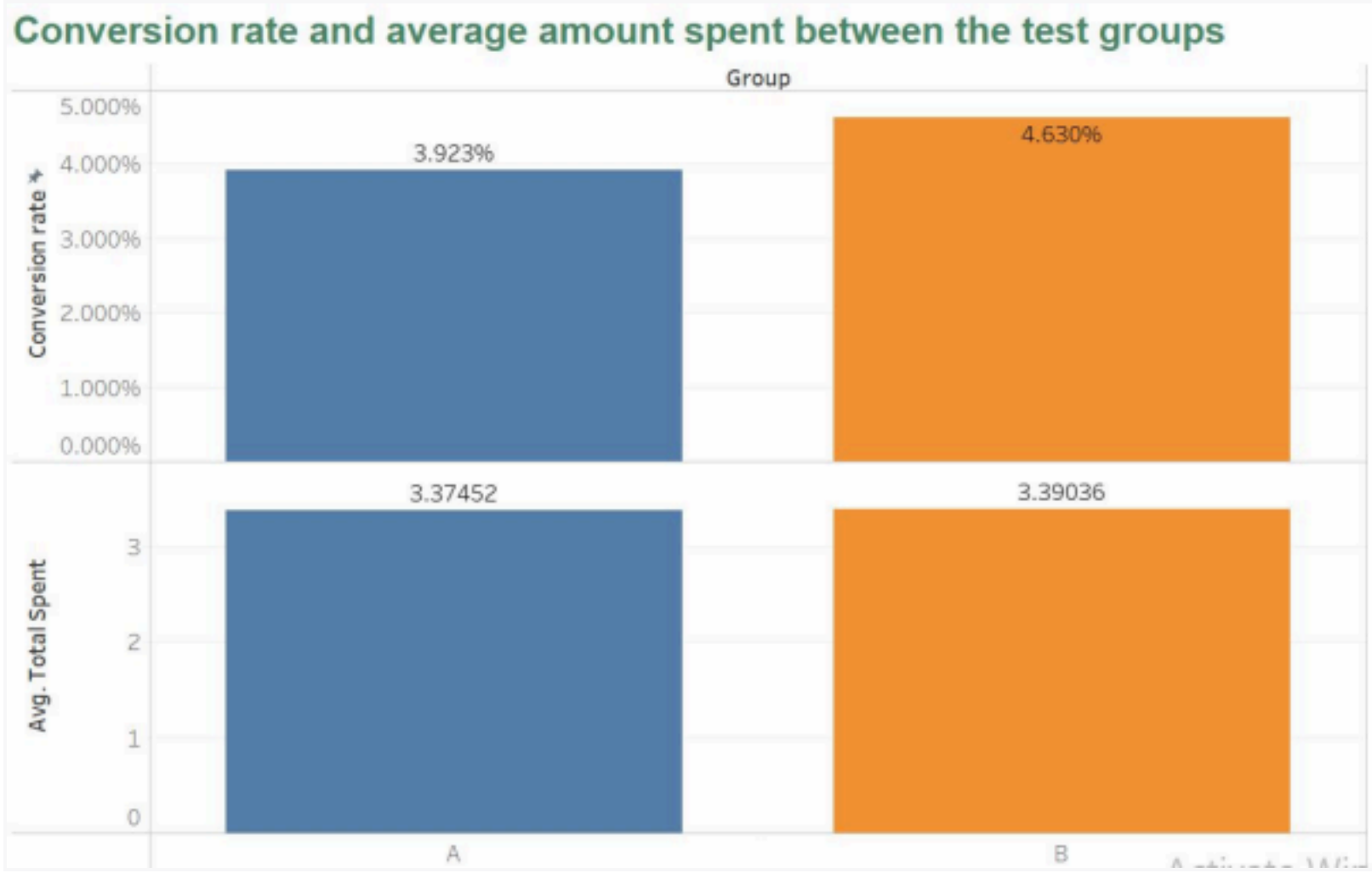
● **Control Conversion Rate:** 3.923%

● **Treatment Conversion Rate:** 4.630%

● **Sample Sizes:** Control: 24,343 | Treatment: 24,600.

● **Avg spent :** Control: 3.37 , Treatment: 3.39 (Not statistically difference) ● **Conversion Rate p-value:** 0.0001 (Significantly different). ● **Avg. Amount Spent p-value:** 0.9457 (Not significantly different). ● **Conversion Rate CI:** (0.00351, 0.01069) at 95% confidence. ● **Interpretation:** True difference lies within this range.

- **Avg. Amount Spent CI:** (-0.43904, 0.47084) at 95% confidence .


Conversion rate and average amount spent between the test groups
Group
A
B
Group
Conversion rate
5.000%
4.000%
3.000%
2.000%
1.000%
0.000%
3.923%
4.630%
Avg. Total Spent
3.37452
3.39036
3
2
1
0
A
B

Results and Discussion

- **Conversion Rate Increase:** Treatment group 18% higher.
- **Significance:** Practical & statistical significance achieved.
- **Practical Significance Level**: 5%.

- The results of the A/B test showed that the banner was effective in increasing awareness of the food and drink product category.
- The 18% increase in conversion rate is statistically significant, which means that it is unlikely to have occurred by chance.

Conclusion and Recommendation

- **Recommendation:** Launch new banner ad.
- **Factors Considered:** Cost, impact on metrics, marketing.
- **New Banner Ad:** Visual appeal, engagement, positive aspects.
- **Action:** Implement new banner ad promptly.
- **The banner :** is a low-cost way to increase awareness of the food and drink product category , will generate more revenue for the company , visually appealing and engaging than the old banner ad, which is likely to make it more likely to be clicked on by users.